payment made by a tenant to his landlords for the use of land only.



6.5.2 Ricardian Theory of Rent



David Ricardo

The Classical Theory of Rent is called "Ricardian Theory of Rent". David Ricardo explained the theory of rent thus:

Assumptions

Ricardian theory of rent assumes the following:

> "Rent is that portion of the produce of the earth which is paid to the landlord for the use of the original and indestructible powers of the soil".
>
> ***David Ricardo***

1. Land differs in fertility.
2. The law of diminishing returns operates in agriculture.
3. Rent depends upon fertility and location of land.
4. Theory assumes perfect competition.
5. It is based on the assumption of long period.
6. There is existence of marginal land or no-rent land.
7. Land has certain "original and indestructible powers".
8. Land is used for cultivation only.
9. Most fertile lands are cultivated first.

Statement of the Theory with Illustration

Assume that some people go to a newly discovered island and settle down there. There are three grades of land, namely A, B and C in that island. 'A' being most fertile, 'B' less fertile and 'C' the least fertile. They will first cultivate all the most fertile land (A grade) available. Since the land is abundant and idle, there is no need to pay rent as long as such best lands are freely available. Given a certain amount of labour and capital, the yield per acre on 'A' grade land is 40 bags of paddy.

Suppose another group of people goes and settles down in the same island after some time. Hence the demand for agricultural produce will increase. The most fertile lands [A grade] alone cannot produce all the food grains that are needed on account of the operation of the law of diminishing returns. So the less fertile lands [B grade] will have to be brought under cultivation in order to

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